

Stress Test

The CRO Card Game

A competitive enterprise risk management game for 2–5 players

You are the Chief Risk Officer of an insurer, a bank, or a hedge fund. So is everyone else at this table. Your job is to build a company that can survive the worst the world can throw at it; everyone else's job is to find out whether it can. Every Scenario card is a stress test you run against your rivals' books: a Category 5 landfall, a nuclear verdict, a sudden rate shock. The last company still solvent wins. The first to fail learns the oldest lesson in risk management: the scenario you didn't plan for is the one someone else will run.

What you need

- One starter deck per player: a CEO card plus 40 cards (print from `print_sheets/`).
- Something to track Surplus (a notepad, dice, or poker chips).
- A first-player marker. Nothing goes on the cards: where a card sits shows whether it is available or committed (see *Committing cards*).

How you win

You win if every other company goes insolvent. If the game reaches the end of round 10, the solvent company with the most Surplus wins (ties share the win).

Leverage and Surplus

The game runs on two numbers, the same two every financial company watches.

- **Leverage** is other people's money that you put to work this turn: an insurer's premiums, a bank's deposits, a fund's investor capital and borrowing. Each line has the capacity to put 1 Leverage to work each turn: **commit** the line to use it. Your committed lines become available again at the start of your turn, and Leverage you don't use is simply gone. Leverage pays for investments, programs, and scenarios.
- **Surplus** is your capital: the cushion that absorbs losses. Scenarios cost you Surplus. Hiring talent costs Surplus. If your Surplus is 0 or less after a scenario resolves, your company is insolvent.

Leverage is what you can deploy; Surplus is what you can lose.

The cards

Lines

You may write one **Product line** per turn. Each belongs to a category: insurers write Life, Annuity,

Health, P&C, and Specialty lines, and banks and funds write **Financials** lines (see *Financials*). Each line has 1 Leverage of capacity, but it also carries **exposures** (risks scenarios can hit) and sometimes **hedges** (risks it offsets). When you write a line you gain its **Margin**: 1 Surplus per exposure it carries. Riskier lines pay more up front, and every line you write is something a rival can hit.

Investments

Pay the Leverage cost. At the start of each of your turns, an investment pays its **Yield** in Surplus. A few pay in cards instead: they have no Yield and draw you a card at the start of your turn. Most investments have a **Sale** value: at any time you may liquidate one for that much Leverage or that much Surplus. **Illiquid** investments can't be sold. Investments carry exposures too, and some are destroyed outright by specific scenarios.

Programs

Your risk management. Three kinds:

- **Treaties** cost Leverage to put in play, then stay in play. Most have a **carrying cost**: at the start of your turn, pay it in Surplus or discard the treaty. That is the reinsurance premium, and it comes out of capital. You can't pay a carrying cost with your last Surplus. Some carrying costs grow with your book. The Quota Share Treaty's grows with your lines. A treaty that makes one kind of exposure not count (the swaps and the credit line) costs 1 Surplus a turn for every exposure of that kind you carry, even hedged ones.
- **Covers** attach to one of your lines or investments and stop its exposures from counting.
- Some treaties and covers can fail. Like an investment, such a program says which scenarios destroy it ("Destroyed if a Market scenario hits you"). When one of those scenarios hits you, the program is destroyed before it prevents or regains anything: protection is only as good as whoever sold it.
- **Responses** are played while a scenario is being run. Leverage you leave available is what pays for them. One Response, Fire Sale, answers a sale instead (see *Fire sales*). Another, Everything Is Securities Fraud, aims at an opponent: when the scenario ends, that company loses as much Surplus again as scenarios have cost it this round. The suit isn't a scenario, so nothing prevents it, and a second suit doesn't count the first.

Talent

Exceptional employees. Hire them by paying their Hire cost in *Surplus*. Many require a line of a particular type. You control at most one copy of each employee.

CEO

Your company's leader, a Talent card that starts on your board. Your CEO can't be poached or fired and isn't one of your 40 cards.

Scenarios

Stress tests you run against rivals. Pay the Leverage cost on your turn. Each one says who it hits.

Committing cards

Lines and employees are either **available** or **committed**. Commit a line to put its 1 Leverage to work. Commit an employee to use an ability that says **Commit**. A committed card stays committed until the start of your next turn, when all your cards become available again.

On paper, show a committed card by sliding it forward, toward the middle of the table, like chips pushed into a pot. At the start of your turn, slide your committed cards back.

Financials

Four starter decks are banks and funds rather than insurers. Their lines are **Financials** lines: the money they raise. They work like any other line: you write one a turn, it has 1 Leverage of capacity, and it pays Margin for its exposures. Financials talent and programs need a Financials line to hire or play.

- **Retail Deposits** carry a **Short-Term Rates** exposure (Margin 1): rising rates make deposits dearer. But a third of your Retail Deposits, rounded down, have no exposure, so seven deposits carry five. Those are **core deposits**, the checking and savings money that stays put when rates rise. They still pay their Margin, and a cover on a deposit still takes an exposure off. A **bank run** (Bank Run is one) makes each company it hits discard half its Retail Deposits, rounded down. Venture Deposits and Evergreen Credit can run too: a bank run counts them with your Retail Deposits and takes half of all of them together. Deposit Insurance stops that.
- **Investor Capital** carries a **Short-Term Equity** exposure (Margin 1): investors pull money when markets fall.
- **Private Credit** carries no exposure and pays no Margin, but its **carrying cost** is $1\frac{1}{2}$ Surplus a turn.
- **Margin Credit** carries no exposure and pays no Margin. Its carrying cost is 1 Surplus a turn, and your capital limits it: at the end of your turn, keep only 1 Margin Credit for every 10 Surplus you have, and discard the rest. That is a **margin call**. It waits for the end of your own turn, so a loss on someone else's turn doesn't call your credit until then.
- **Loans and dealing businesses are investments**, not lines: they don't raise money, they are what the money buys. Credit Cards, Mortgage Lending, and Prime Brokerage carry a **Credit** exposure: borrowers who stop paying. Subprime Meltdown, a Supervisory Stress Test, and a credit crunch hit Credit. M&A Advisory and the Trading Desk carry equity risk.

Carrying costs round down. Add up all the carrying costs you are paying, then round down: one Private Credit costs 1, two cost 3, three cost 4.

Setup

1. Each player takes a deck, puts its CEO face up on the table, and shuffles the other 40 cards.
2. Everyone starts with this much Surplus:

Players	2	3	4	5
Starting Surplus	16	18	25	28

3. Draw 6 cards. You may **redraw** once: shuffle your hand back and draw 6 new cards.
4. Anyone holding a **Forecast** scenario in their opening hand shows it to the table.
5. Choose a first player and give them the first-player marker.

A round

Starting with the first player, each company takes one turn. At the end of the round the first-player marker passes to the left, so no seat always goes first or last.

Your turn

1. **Refresh.** Your committed lines and talent become available.
2. **Settle.** In this order:
 - a. Pay any interest you owe from a Surplus Note or credit line.
 - b. Collect your investments' Yield, and draw any cards your investments and employees give you.
 - c. Pay the carrying costs on your treaties and lines in Surplus, or discard the ones you stop paying for. Add it all up, then round down.
 - d. Resolve the next stage of any **developing event** you ran. Keep a developing event face up beside your deck and turn it a quarter turn after each stage, so its position shows which stage is next; discard it after the last.
3. **Draw** one card. If it is a **Forecast** scenario, show it to the table before putting it in your hand. You can't run it this turn. If your deck is empty, you just stop drawing.
4. **Operate.** In any order, as often as you can pay for it:
 - Write **one** line and gain its Margin.
 - Make **one talent move**: hire an employee from your hand, or **poach** one from a rival.
 - Play investments, treaties, and covers.
 - Run scenarios.
 - Use your talent's and treaties' abilities, and liquidate investments.
5. **Close.** If you control more Margin Credit than 1 per 10 Surplus, discard the extras (a margin call). Discard down to 8 cards. Then each other player, in turn order, may run one **Breaking** scenario.

Running a scenario

1. **Pay** the Leverage cost. For a target-opponent scenario, choose the target. To **Focus** a scenario that says Focus, pay 2 more and choose one opponent.
2. **Response window.** Starting with the player to your left and ending with you, each player may do any of the following, then pass:
 - play Response cards;
 - commit talent to use their abilities;
 - liquidate investments or draw on a credit line to raise Leverage.

There are no responses to responses. When someone **stops** a scenario, the player who ran it may pay the extra Leverage the card names to keep it going; otherwise it is called off. Only a company the scenario hits can stop it, and an **Act of God** can't be stopped at all.

3. **Resolve.** Every company the scenario hits works out its loss (below) and pays it from Surplus. Then apply the card's other effects, destroy any investments the scenario wipes out, and pay natural-hedge gains.
4. **Check for insolvency.**

A scenario in the middle of another

Emergency Equity Infusion lets each opponent holding a Bank Run run it at once, for free, in turn order. A scenario run this way is run in full right then, with its own response window, resolution, and insolvency check. A free run is a plain run: it can't be Focused. Then the scenario it interrupted picks up where it left off, and the player who played the infusion may go on responding to it. If the company running the interrupted scenario has gone insolvent in the meantime, that scenario is called off.

Drawing and discarding

Some cards draw you extra cards: a line when you write it, a Response when you play it, or an investment or employee at the start of your turn. Some scenarios make the companies they hit discard. Whenever a card makes you discard, you choose which cards go from your hand, and they go face up on your discard pile. If your deck runs out, you just stop drawing.

Dark cards and the paper trail

Some cards are **Dark**: they cut corners, so they are cheap and strong. A Dark card in your discard pile is **evidence**, however it got there: played, fired, destroyed, or discarded. Reckoning scenarios such as Whistleblower charge you for every piece of evidence in *your own* discard pile. A Dark card still in play is not evidence until it leaves, and nothing ever removes evidence from a discard pile. Cards always go to their owner's discard pile, so a poached Dark employee still leaves its trail with the company that first hired it.

Who a scenario hits

- **Each opponent:** every company except yours. If the card says **Focus**, you may instead pay 2 more Leverage and choose one opponent: only that company is hit, and it loses double.
- **Target opponent:** the one company you choose.
- **Systemic:** every company, *including yours*.

Focus doubles every loss clause before protection: “4 per Litigation exposure” costs 8 per Litigation exposure. Anything else the card does, such as a discard or a layoff, happens once. Acts of God and real disasters never have Focus: nobody aims a hurricane at one rival. Focusing a scenario targets that company, so a card that makes scenarios targeting you cost more (General Counsel, for one) charges it too. In a two-player game, Focus is how you hit your one rival for double.

Working out a loss

For each clause on the scenario (for example “4 per Nat Cat: Flood exposure”):

1. Count your matching **exposures** across your lines and investments, and subtract your matching **hedgies**. Never go below zero. An exposure marked **x2** counts twice. **Nat Cat: Any** matches every Nat Cat peril, and a flood, quake, or wildfire clause hits it.
2. Multiply by the clause amount. Add any flat amounts and “per investment” or “per Program” amounts.
3. If the scenario was **Focused**, double each clause.

Then apply protection in this order:

1. **Programs that fail.** A treaty or cover this scenario destroys is gone before any of the steps below, so it counts for nothing.
2. **Covers and ignored exposures** (for example an interest rate swap) have already removed exposures in step 1.
3. **Halving treaties and talent.** Halve the matching clauses, rounding down.
4. **Flat reductions**, such as “each Mortality clause costs you 1 less.”
5. **Swap payments.** Add them if the scenario has the clause your swap pays on.
6. **Responses and committed talent** prevent what they say.
7. **Excess-of-loss caps.** An excess-of-loss treaty caps what is left at its retention, every time.
8. **Recoveries.** A cat bond sponsorship or adverse development cover gives back part of the loss.

Talent, poaching, and your CEO

- You get one talent move per turn: hire, or poach.
- **Poach:** take a rival’s employee by paying its Hire cost plus 2 Surplus. You must meet its line requirement, and you can’t already control a copy. The poached employee signs a new contract and gains **Non-compete**, so it can’t be poached back. It also arrives **committed**: it sits out gardening leave until the start of your next turn, so poach before you need it.
- Some scenarios make companies fire employees. Your CEO is never fired or poached.
- An employee you commit on your own turn (for example, to pay Surplus for a card) stays committed until your next turn, so it can’t step in during anyone else’s scenario.
- You can’t pay Surplus that would drop you to 0 or below.

Insolvency

When a company’s Surplus is 0 or less after anything resolves:

1. It automatically sells its liquid investments, highest Sale value first, until its Surplus is above 0.
2. If it still has 0 or less, it is **insolvent** and out of the game.

Companies that fail at the same moment leave together. Some cards, like Too Big to Fail, make a failure cost every other company Surplus; if that drops another company to 0 or less, it fails the same way.

Fire sales

Fire Sale is a Response played right after a company with less than 10 Surplus sells an investment: for Leverage, for Surplus, or automatically to stay solvent. Count the seller’s Surplus from before the sale. Starting with the player to the seller’s left and ending with the seller, each player may play one. Then every company with less than 15 Surplus, including the one that played it, sells every copy of that investment it controls for half its Sale value in Surplus, rounded down: a Sale 2 investment fetches 1, and a Sale 1 investment fetches nothing. These forced sales don’t set off another Fire Sale. Then play picks up where the sale left off.

Keywords

Act of God

This scenario can't be stopped.

Breaking

You may also run this at the end of another player's turn.

Carrying Cost

At the start of your turn, pay this much Surplus or discard the card. Add up all your carrying costs, then round down: two cards with a carrying cost of $1\frac{1}{2}$ cost 3. You can't pay it with your last Surplus.

CEO

Your CEO is a Talent card that starts on your board. It can't be poached or fired and isn't part of your 40-card deck. Starter decks name a CEO; in constructed play, any Talent card can be your CEO except one that fires itself, such as the Compliance Patsy.

Commit

Put a line or an employee to work. A line you commit adds 1 Leverage, its capacity. An employee you commit uses the ability that names Commit. A committed card stays committed until the start of your next turn, when your cards become available again.

Cover

Attach to one of your cards when you play it. If that card leaves play, discard the cover.

Dark

A Dark card bends the rules. Once it is in your discard pile (played, fired, or discarded), it is evidence: some scenarios cost you Surplus for each Dark card in your discard pile. A Dark card still in play is not evidence until it leaves.

Developing Event

Stage 1 resolves when you run it. At the start of each of your turns, the next stage resolves. Discard it after the last stage.

Focus

When you run this scenario, you may pay 2 more Leverage to run it at one opponent. It hits only that opponent, and each of its loss clauses counts double, before protection. Anything else it does happens once.

Forecast

When you draw this card or search your deck for it, show it to the table, then put it in your hand. You can't run it that turn.

Hire

Pay this much Surplus to hire the employee. You get one talent move (hire or poach) per turn.

Illiquid

This investment can't be liquidated.

Margin

When you write a line, gain 1 Surplus per exposure it carries. Riskier lines pay more up front.

Non-compete

This employee can't be poached.

Poach

On your turn, take an opponent's employee by paying its Hire cost plus 2 Surplus. The poached employee gains Non-compete and arrives committed: it sits out gardening leave until your next turn.

Response

Play only while a scenario is being run, before it resolves, unless the card names another moment.

Sale

Any time, you may liquidate this investment for its Sale value, taken as Leverage or as Surplus.

Stop

A card that stops a scenario calls it off, unless the player who ran it pays the extra Leverage the card names. Only a company the scenario hits can stop it.

Systemic

This scenario hits every company, including the one that ran it.

Yield

At the start of your turn, gain this much Surplus from the investment.

Starter decks

Deck	Line	CEO	Style
Mortality Mutual	Life	Eleanor Marsh, Mutual Founder	Patient. Builds a wide book and leans on mortality protection.
Retirement Guarantees	Annuity	Walter Ng, Spread Maximizer	Back-loaded. Hedges markets and longevity, strongest late.
Medical Trend	Health	Dr. Priya Anand, Network Builder	Fast. Wide book early; needs trend and regulatory protection.
Catastrophe Underwriters	P&C	Rusty Calloway, Cat Veteran	Swingy. Rich margins and strong cat protection; one missed hedge hurts.
Surplus Lines Syndicate	Specialty	Vivian Stroud, Syndicate Chair	Aggressive. Cheap targeted scenarios; litigation and liquidity exposure.
Moral Hazard Holdings	Annuity	Theo Blackwood, Dealmaker	Predatory. Two talent moves a turn, scenarios that strip your staff, and Too Big to Fail as a hostage.
Main Street Savings	Financials	Martha Kemp, Pillar of Main Street	Patient. Deposits fund a wide loan book; rate shocks and defaults are the danger, but its depositors never run.
Bulge Bracket Partners	Financials	Catherine Voss, Master of the Universe	Leveraged. Fee income from advisory, prime brokerage, and trading; its CEO makes its failure everyone's problem.
Two and Twenty Macro	Financials	Isadora Quinn, Macro Oracle	Volatile. Runs rate and market shocks at everyone and profits when they land; one crash brings the margin calls.
Bear Raid Capital	Financials	Victor Crane, Bear Raider	Predatory. Cheap targeted scenarios and forensic research, plus a paper trail it hopes nobody reads.

Each insurer deck has 15 Product lines, 4 investments, 4 employees, and 17 programs and scenarios (5 and 12 in most decks; Retirement Guarantees runs 6 and 11), plus its CEO. The four Financials decks run 15 Financials lines and more investments (4 to 7), because putting borrowed money to work is how they earn. Every starter deck carries two Dark cards and at least one reckoning. In simulated games the first-player rotation keeps seat advantage within a few points.

Moral Hazard Holdings is the villain: a private equity roll-up that poaches your people, bets against you, and holds Too Big to Fail over the table.

The Financials decks: Main Street Savings is a community bank whose depositors never run; Bulge

Bracket Partners is an investment bank of deals, trading, and prime brokerage, too big to fail; Two and Twenty Macro is a leveraged macro hedge fund that profits when rate and market shocks land; Bear Raid Capital is an activist short seller that profits from scandals and fire sales.

Building your own company (charter format)

- Exactly 40 cards. Any number of Product lines; at most 3 copies of any other card. Most decks want 14–17 lines.
- Choose **any Talent card** as your CEO, except one that fires itself, like the Compliance Patsy. The CEO starts on the board and isn't one of your 40 cards (so it can't also be in your deck).
- Pack scenarios for the companies you expect to face, not the ones your own book avoids. Scenarios never hit you unless they are Systemic.

Playing like a CRO

- **Your opponents are your reverse stress test.** Look at a rival's board and ask which scenario breaks it. Then look at your own.
- **Fully committed means uninsured.** Capacity you keep available pays for Responses. Leverage you spend on growth can't protect you on someone else's turn.
- **A revealed threat already costs money.** When a rival shows a Forecast hurricane, everyone exposed starts paying: treaty carrying costs, Leverage held back, cover. That is a risk load.
- **Concentration kills.** Ten Mortality exposures turn one pandemic into an insolvency. Diversify your lines, or buy the treaty.
- **Find the weakest book.** A Focused scenario costs one rival double. Aim it where the exposure is, or at the company one hit from failing.
- **Liquidity is not solvency.** Selling investments or drawing a credit line buys time, not capital.
- **Crowded trades unwind together.** When a company in trouble dumps an investment you also hold, a Fire Sale can make you dump yours at half price. A thick cushion of Surplus keeps you out of the stampede.
- **Borrow short, lend long, and watch the rate.** Most deposits reprice the moment rates move; fixed-rate loans don't. Hedge the gap before a rate shock finds it.
- **Leverage is procyclical.** Margin credit shrinks exactly when your Surplus does, so the loss that hurts you also takes away your funding.
- **Natural hedges pay twice.** A line's hedges offset other exposures, and some investments gain when disasters hit.
- **Key people are a risk.** Your best hire is everyone else's best poach.
- **Conduct risk compounds.** Every Dark card is cheap today and evidence tomorrow, and the bill tends to arrive all at once.
- **Cards are options; Surplus is capital.** A card drawn today may save you tomorrow, but paying Surplus for cards thins the cushion that keeps you solvent.

A note on the scenarios

Cards based on real disasters are written as *as-if replays*: what would the same event cost today's books? That is how catastrophe modelers use history. Those cards keep a sober tone; the humor is aimed at markets, regulators, and corporate life.